

Checklist

Engineering Executive: Planning (Budgeting, Allocation, Roadmaps)

Planning Mindset

- ☐ Treat planning as an **ongoing, dynamic process** (not a one-time event)
- ☐ Separate **financial** planning, functional **allocation**, and **roadmap** discussions
- ☐ **Sequence decisions** instead of debating everything at once
- ☐ Accept that plans will **evolve** as reality changes
- ☐ Prefer **durable constraints** over flexible ones

Phase 1: Establish the Financial Plan

Annual Financial Foundation

- ☐ Align on **revenue targets** by business line
- ☐ Define **expense targets** by function
- ☐ Finalize **headcount plan** (roles + hiring timing)
- ☐ Ensure Engineering is aligned on **total budget constraints**
- ☐ Agree whether the financial plan is **fixed or adjustable** during the year

Engineering Cost Management

- ☐ Segment Engineering expenses:
 - ☐ **Headcount**
 - ☐ **Production** (cloud, vendors)
 - ☐ **Development** (CI/CD, tooling)
- ☐ Review business lines where expenses **grow faster than revenue**
- ☐ Document **hypotheses for improving** underperforming segments

Capitalizing Engineering Costs (if relevant)

- ☐ Agree with Finance on **capitalization approach**:
 - ☐ Ticket-based
 - ☐ Project-based
 - ☐ Role-based
- ☐ Ensure approach:
 - ☐ Is **auditor**-defensible
 - ☐ Works for Finance **reporting timelines**
 - ☐ **Minimizes overhead** for Engineering

Headcount Discipline

Decide whether Engineering **headcount growth** constrains company growth

- ☐ **Model** org structure **before requesting** additional headcount
- ☐ Compare the hiring plan against the **historical recruiting capacity**
- ☐ **Avoid** treating headcount as the **universal** solution

Vendor Contracts

- ☐ Identify renewal **deadlines** early
- ☐ Check **actual** usage vs. **contracted** volume
- ☐ Push for:
 - ☐ Volume **discounts**
 - ☐ **Shorter** commitments (unless a meaningful tradeoff)
 - ☐ Service credits for **past reliability issues**
- ☐ Align the **negotiation strategy** before engaging the vendor

Phase 2: Determine Functional Portfolio Allocation

Set Allocation Strategy

- ☐ Define **steady-state allocation** percentages (e.g., Infra / DevEx / Product)
- ☐ Explicitly decide % for:
 - ☐ **Cross-functional** work
 - ☐ **Functional/internal** priorities
- ☐ **Review** Engineering investments annually
- ☐ Update allocation as impact **data** improves

Allocation Discipline

- ☐ Keep **allocation** fairly **steady** (avoid frequent churn)
- ☐ Make **changes** narrowly and **intentionally**
- ☐ Choose appropriate **granularity** (large buckets > tiny slices)
- ☐ **Avoid overreacting** to early results

Unscoped vs Scoped Work

- ☐ Separate **validated projects** from **exploratory** initiatives
- ☐ Allocate a fixed % for validating **new ideas**
- ☐ Avoid comparing the raw potential of unscoped ideas to scoped work
- ☐ Keep **validation budget** long-running and explicit

Phase 3: Agree on the Roadmap

Roadmap Construction

- ☐ Ensure **Product**, **Engineering**, and **Design** collaborate
- ☐ **Validate roadmap** with stakeholders (Sales, Marketing, etc.)

- ☐ Resolve **conflicts** in **open group discussions** (not 1:1 side deals)
- ☐ **Avoid** coupling **roadmap** changes directly to **budget shifts**

Scope Discipline

- ☐ Avoid mixing **concrete** projects with **vague** ideas
- ☐ Emphasize **outcomes first**, projects second
- ☐ Maintain **flexibility for teams** to adjust implementation details
- ☐ Prevent planning from **disempowering** teams

Prevent Common Roadmapping Failures

- ☐ Avoid **over-planning** detailed task lists
- ☐ Avoid a roadmap driven by executives' "**exciting ideas.**"
- ☐ Avoid turning planning into **idea-generation** season
- ☐ Don't let **cross-functional work** crowd out functional priorities

Planning Process & Timeline

- ☐ The **annual budget** is prepared before the year starts
- ☐ Functional **allocation** is reviewed on a **rolling basis**
- ☐ **Quarterly planning** is done in the weeks preceding each quarter
- ☐ Keep planning **time-boxed** (don't let it expand indefinitely)
- ☐ **Improve** the process each year

Pitfalls to Watch For

Planning as Checkbox Ritual

- ☐ Plans are **referenced after** the planning cycle ends
- ☐ Focus is on the **quality of decisions** rather than the formatting
- ☐ Clear executive sponsor **owns trade-offs**

Inefficient Resource Allocation

- ☐ Executives **optimize for the company**, not their own function
- ☐ Budget **allocation is respected** after being set
- ☐ The **least efficient teams** are not disproportionately rewarded
- ☐ **Velocity** discussions don't default to "**we need more headcount.**"

Shiny Project Bias

- ☐ Planning is not centered on what executives find **most interesting**
- ☐ **Compliance, security, and reliability** receive proper attention
- ☐ Functional **responsibilities** aren't neglected

Diminishing Team Ownership

- ☐ Executives **prioritize outcomes**, not micromanaged projects
- ☐ Planning doesn't generate large volumes of **new, unscoped work**
- ☐ Teams retain **autonomy** in execution decisions

Final Executive Sanity Check

Before finalizing your plan, ask:

- ☐ Are **financial constraints** clear and stable?
- ☐ Is the **engineering allocation** explicit and steady?
- ☐ Is the **roadmap aligned** with both company goals and real capacity?
- ☐ Have we **avoided mixing** budgeting, allocation, and roadmap **debates**?
- ☐ Does this **plan empower teams** rather than constrain them?
- ☐ Are we **improving the system**, not just this cycle?